

DRUMOAK CAPITAL
MDA Space Ltd (MDA)
Equity Research Report

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As of 16 May 2026 Close



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I EXECUTIVE SUMMARY: THE IDENTITY CRISIS

MDA Space is a Canadian defence contractor wearing a space-tech suit. The market currently values the company approximately 50x forward P/E, a multiple approach for high-growth, capital-light disruptors like Rocket Lab. The underlying business, however, is structurally pivoting toward sovereign defence contracts (49North, Arctic Surveillance, Canadian Surface Combatant) that carry 12-15% EBITDA margins, not the 20%+ margins that justify a technology multiple. This is a classic valuation category error, and category errors correct.

Two Catalysts accelerate the re-rating. First the NYSE IPO (March 2026) served as a liquidity event through which institutional investors, who understand the margin trajectory, exited position into retail “Space Race” demand. Institutional ownership has since fallen 16.99%. Second, the NASA Artemis delay announcement removes the programme milestone that underpinned the robotics segment’s growth premium. My bear-case model implies a fair value of CA\$25.08 , representing a 47.3% downside from the April 16, 2026 close of CA\$47.57. Even the base case, which grants management’s full guidance, yields only CA\$43.74, an 8.1% downside. The risk/reward is asymmetric in one direction.

II. PILLAR 1: THE MULTIPLE RE-RATING TRAP

Category Misclassification

The market prices MDA alongside speculative space infrastructure names. RocketLab (RKLB), which generates negative EBITDA and trades at a negative EV/EBITDA, is MDA’s current “peer group” in investor perception. As MDA scales its 49North and Arctic Defence programmes toward a 50/50 commercial-to-defence revenue split by 2028, the appropriate peer group migrates to Lockheed Martin (17.6x EV/EBITDA), Northrop Grumman (~14x), and BAE Systems (~14x). This is not a subtle shift, it is a change of fundamental valuation framework.

The Mathematics of Multiple Gravity

Company	EV/EBITDA	Forward P/E	Revenue Growth	Category
Rocket Lab (RKLB)	NM (Negative)	NM	43%	Space Hype
Lockheed Martin (LMT)	17.6x	21.3x	5%	Defence Prime
Northrop Grumman (NOC)	~14.0x	~16.0x	4%	Defence Prime
BAE Systems (LON: BA)	~14.0x	~17.0x	8%	Defence Prime
MDA Space – Current	~20.0x	~50.0x	51% (2025A)	Mismatch

The table illustrates the core argument. Even a re-rating to a generous 18x EV/EBITDA, which still prices MDA at a meaningful premium to defence peers, implies a CA\$43.74 share price. A full re-rating to 12x, the defence prime median, yields CA\$25.08. The company does not need to miss a single number for the short to work, the multiple compresses as the revenue mix reveals itself.

II. PILLAR 2: STRUCTURAL MARGIN EROSION

MDA’s FY2025A adjusted EBITDA margin of 19.8% reflects a business still predominately weighted toward higher-margin commercial satellite programmes. That mix is changing. The 49North initiative, Arctic surveillance mandates, and the Canadian Surface Combatant programme are all sovereign, government-procurement-driven contracts with two structural margin headwinds.

- **Fixed-price cost exposure:** Several 49North and Arctic contracts are fixed-price. Aerospace-grade titanium and aluminum prices rose 6-7% in early 2026. MDA cannot pass these costs to the Crown. The resulting margin bleed is direct, non-recoverable, and largely invisible until reported.
- **Government procurement economics:** Canadian defence contracts operate under cost-plus or capped-margin structures. The commercial satellite segment that built MDA’s 20%+ EBITDA history does not apply in Ottawa’s procurement framework, which structurally limits margins to the 12-15% range.
- **Backlog quality discount:** MDA’s CA\$4.0B backlog is routinely cited as quality metric by sell side. Ottawa’s procurement cycles for defence programmes run 3-5 years behind schedule historically. My model applies a 15%+ haircut to annual backlog conversion rates in the bear case, reducing the revenue recognition timeline and exposing the company to a sustained period of high capex (\$250m guided for 2026) against muted free cash flow (management guided neutral-to-negative FCF in 2026).

My model forecasts a 2026E EBITDA margin of 17.2% in the bear case and 19.0% in the base case, against 19.8% in FY2025A. This represents 280-640bps of compression from the company’s 2024 peak, driven entirely by structural mix shift rather than operational failure.

IV. PILLAR 3: THE INSTITUTIONAL EXIT SIGNAL

The single most instructive data point in this pitch is behavioural. Following the NYSE IPO in March 2026, institutional ownership in MDA fell by 16.69%. Large funds with the analytical resources to model the margin trajectory and the portfolio mandates to be disciplined about entry/exit used the US listing liquidity to reduce exposure. The current price is being supported by retail investors attracted to the “Space Race” narrative rather than the underlying cash flow.

This divergence matters because the Morningstar DCF-based fair value sits at CA\$33.88, the consensus “Buy” rating and the CA\$47.57 market price reflect multiple expansion assumptions that the FCF simply does not support. MDA’s own 2026 guidance calls for neutral-to-negative free cash flow against CA\$250m in capital expenditures. This is not a cash-generative business at current scale, yet it is priced as one.

V. VALUATION: THE MATHEMATICS OF THE SHORT

The valuation framework is a single-period EV/EBITDA exit multiple approach applied to FY2026E estimates, bridged to equity value via net debt of CA\$120m (0.4x EBITDA at YE2025) and divided by 137.7m share outstanding.

	Bear Case	Base Case	Bull Case
Revenue Growth	6.0%	10.0%	16.0%
2026E Revenue (CA\$m)	1,731.2	1,796.5	1,894.5
EBITDA Margin	17.2%	19.0%	20.0%
2026E Adjusted EBITDA (CA\$m)	297.8	341.3	378.9
Exit EV/EBITDA Multiple	12.0x	18.0x	25.0x
Implied Enterprise Value (CA\$m)	3,573.6	6,143.4	9,472.5
Less: Net Debt (CA\$m)	(120.0)	(120.0)	(120.0)
Implied Equity Value (CA\$m)	3,453.6	6,023.4	9,352.5
Implied Share Price (C\$)	\$25.08	\$43.74	\$67.92
Vs Current Price (CA\$47.57)	(47.3%)	(8.1%)	+42.8%

Sensitivity Analysis

Even holding revenue at management’s base guidance, the sensitivity matrix demonstrates that the stock is a Sell across the vast majority of realistic multiple/margin combinations. The table below shows implied share price across EBITDA margin scenarios (Rows) and EV/EBITDA exit multiples (columns). Red cells indicate >30% downside; amber indicates 10-30% downside.

Margin ↓ / Multiple =>	12.0x	14.0x	16.0x	18.0x
16.5%	\$25.02	\$29.33	\$33.64	\$37.95
17.2% (Bear)	\$25.08	\$30.54	\$35.03	\$39.52
18.0%	\$27.31	\$32.01	\$36.70	\$41.40
19.0% (Base)	\$28.87	\$33.83	\$38.79	\$43.74

VI. KEY RISKS TO THE SHORT

This is a valuation short, not a distress short. MDA is a quality business, the risk to the thesis is not operational failure but rather a sustained retention of the space-tech premium.

- **Artemis acceleration or M&A premium:** A positive NASA announcement or a takeover bid from a US defence prime (e.g, Northrop Grumman seeking Canadian dual-use capabilities) would be the primary short-squeeze catalyst. Position sizing discipline and stop-loss management are essential given this tail risk.
- **Revenue beats without margin confirmation:** A Q1 revenue beat (earnings: May 7, 2026) that is not accompanied by margin data would temporarily suppress the thesis. The counter-argument is that a top -line beat driven by defence contract revenue would simultaneously confirm the margin compression narrative, the market simply may not price it immediately.
- **Tariff carve-outs:** Canada-US defence and space contracts receiving tariff exemptions would partially neutralise the input cost headwind in the bear margin case. This is a monitoring item rather than a disqualifying risk.

VII. CONCLUSION

MDA Space is a quality company at a premium price. The investment case for the short rests on three interlocking pillars: a multiple that belongs to a peer group the company is actually growing away from; a margin structure that will compress structurally as sovereign defence revenue scales; and an institutional exit that signals the informed money has already made this calculator. The May 7, 2026 Q1 earnings call is the immediate catalyst, any evidence of margin pressure will be the market’s first hard data appointment confirming the thesis.